



Agenda Item Details

TOPIC:

Review of the Fiscal Year 2026 Year-End Financial Report and Proposed Commitment of Fund Balance

BACKGROUND:

Pursuant to Virginia Code [§ 22.1-100](#), WJCC Schools may not carry forward unexpended funds from one fiscal year to the next unless the School Board takes action to commit or assign those funds for a specific purpose.

Historically, pursuant to the School Division's operational contract with the City of Williamsburg and James City County, 90% of unexpended funds were allocated to the "Future School Use Account", with the remaining 10% returned to the localities based on their respective funding shares.

During Fiscal Year 2026, James City County returned a portion of the School Division's Fiscal Year 2025 fund balance to establish a healthcare reserve fund. Subsequently, both James City County and the City of Williamsburg expressed support for directing any remaining Fiscal Year 2026 year-end fund balance to the healthcare reserve fund to help address future healthcare cost obligations and strengthen the Division's long-term financial position.

RATIONALE:

Administration is recommending that the Fiscal Year 2026 year-end fund balance be committed to the healthcare reserve fund. This recommendation is supported by both James City County and the City of Williamsburg and advances the School Division's efforts to build financial capacity to manage future healthcare-related expenditures.

SPECIAL CIRCUMSTANCE(S):

Revenue and expenditure information presented is preliminary, unaudited, and subject to change.

COST BUDGETED:

N/A

ALTERNATIVES:

1. Approve the superintendent's recommendation to commit the Fiscal Year 2026 year-end fund balance to the healthcare reserve fund.
2. Do not approve the superintendent's recommendation.

SUPERINTENDENT'S RECOMMENDATION:

The superintendent recommends the board review the information and be prepared to vote on the proposed commitment of the Fiscal Year 2026 year-end fund balance to the healthcare reserve fund at the September 15, 2026 meeting.

DATA SOURCE:

Daniel Keever, Ph.D., Superintendent
Rene Ewing, Chief Financial Officer